Ratios

No person should invest in a company until he has analyzed its financial statements and compared its performance to what it achieved in the previous years, and with that of other companies. This can be difficult at times because:

1. The size of the companies may be different.
2. The composition of a company's balance sheet may have changed significantly. It may have issued shares, or increased or reduced borrowings.

It is in the analysis of financial statements that ratios are most useful because they help an investor to compare the strengths, weaknesses and performance of companies and to also determine whether it is improving or deteriorating in profitability or financial strength.

Ratios express mathematically the relationship between performance figures and / or assets / liabilities in a form that can be easily understood and interpreted. Otherwise, one may be confronted by a battery of figures that are difficult to draw meaningful conclusions from. It should be noted that figures by themselves do not enable one to arrive at a conclusion about a company's strength or performance. Sales of Rs. 500 crore a year or a profit of Rs. 200 crores in a year may appear impressive but one cannot be impressed until this is compared with other figures, such as the company's assets or net worth or capital employed. It is also important to focus on ratios that are meaningful and logical. Otherwise, no useful conclusion can be arrived at. A ratio expressing sales as a percentage of trade creditors or investments is meaningless as there is no commonality between the figures. On the other hand, a ratio that expresses the gross profit as a percentage of sales indicates the mark up on cost or the margin earned.